



U.S. Customs and Border Protection

PUBLIC VERSION

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Re: Notice of Determination as to Evasion - EAPA Consolidated Case 7724

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) consolidated investigation 7724, U.S. Customs and Border Protection (CBP) has determined there is substantial evidence that importer of record (IOR) WHP Associates LLC (WHP or the Importer) entered merchandise covered by antidumping duty (AD) orders A-570-920, A-428-850, and A-580-911 on thermal paper from China, Germany, and the Republic of Korea, respectively and/or countervailing duty (CVD) order C-570-921 on thermal paper from China (collectively referred to as the *Orders*)¹ into the customs territory of the United States through evasion. Substantial evidence demonstrates reported manufacturer Actan (Malaysia) SDN BHD (Actan) transshipped South Korean-origin, German-origin, and Chinese-origin thermal paper through Malaysia, which was imported by WHP into the United States with a claimed country of origin of Malaysia. As a result, no cash deposits were applied to the merchandise at the time of entry.

Background

On April 15, 2022, the Paper Receipts Converting Association (the Allegor or PRCA) filed allegations against the IOR WHP.² The Allegor provided evidence showing that the reported

¹ See *Lightweight Thermal Paper from the People's Republic of China: Antidumping Duty Order*, 73 FR 70959 (Nov. 24, 2008); see also *Lightweight Thermal Paper from the People's Republic of China: Countervailing Duty Order*, 73 FR 70958 (Nov. 24, 2008); see also *Thermal Paper from Germany, Japan, the Republic of Korea, and Spain: Antidumping Duty Orders*, 86 FR 66284 (Nov. 22, 2021) (collectively, the *Orders*).

² See Letter from the PRCA, "Duty Evasion and False Country of Origin Allegation Against WHP Associates Importer Of Thermal Paper From The People's Republic Of China, Germany, and the Republic of Korea, Pursuant To The Enforce and Protect Act," dated April 15, 2022 (7724 Allegation) at 1; Letter from the PRCA, "Duty Evasion and False Country of Origin Allegation Against WHP Associates Importer Of Thermal Paper From The People's Republic Of China, Germany, and the Republic of Korea, Pursuant To The Enforce and Protect Act," dated April 15, 2022 (7726 Allegation) at 1; and Letter from the PRCA, "Duty Evasion and False Country of Origin

manufacturer, Actan, merely imports thermal paper jumbo rolls from Germany, China, and South Korea into Malaysia, and then converts the jumbo rolls into smaller thermal paper rolls that are then exported to the United States and imported by WHP.³ Information provided by the Alleger suggests that Actan does not produce its own jumbo paper rolls in Malaysia nor does Actan purchase from Malaysian producers of thermal paper jumbo rolls.⁴ On June 7, 2022, the Trade Remedy Law Enforcement Directorate (TRLED), within CBP's Office of Trade, acknowledged receipt of the properly filed allegations by the Alleger, a trade or business association in which a majority of the members manufacture, produce, or wholesale a domestic like product, *i.e.*, thermal paper, in the United States.⁵ TRLED found the information provided in the Allegations reasonably suggested that IOR WHP entered covered merchandise into the customs territory of the United States through evasion. Consequently, CBP initiated an investigation on June 28, 2022, pursuant to Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015, commonly referred to as the "EAPA."⁶

After evaluating the information on the record at that time, on October 3, 2022, CBP issued its Notice of Initiation and Interim Measures.⁷ TRLED determined that reasonable suspicion existed that WHP had evaded the Order on thermal paper from South Korea by claiming that the thermal paper it imported into the United States was of Malaysian-origin when it was actually of Korean-origin.⁸ TRLED based its determination on the sufficient information provided in the Allegations, including CBP's prior rulings, *i.e.*, 2008 CROSS Ruling N030222 and 2015 CROSS Ruling N268298, which found that "no substantial transformation" occurred in the jumbo roll to smaller roll conversion process and the country-of-origin is that of the raw material, *i.e.*, the jumbo roll.⁹ CBP found that the minor processing of thermal paper by Actan in Malaysia, *i.e.*, unrolling the jumbo thermal paper rolls, slitting the rolls into strips, and rerolling the strips into smaller rolls, does not change the country-of-origin (COO) of the thermal paper being purchased to COO Malaysia.¹⁰

On October 20, 2022, pursuant to 19 CFR 165.5, CBP sent requests for information (RFI) to IOR WHP and to the claimed manufacturer, Actan, requesting information regarding shipments of

Allegation Against WHP Associates Importer Of Thermal Paper From The People's Republic Of China, Germany, and the Republic of Korea, Pursuant To The Enforce and Protect Act," dated April 15, 2022 (7728 Allegation) at 1 (collectively, the Allegations).

³ See generally the Allegations.

⁴ *Id.*

⁵ See CBP email "Receipt of EAPA Allegations 7724-7729," dated June 7, 2022.

⁶ See CBP Memorandum, "Initiation of Investigation for EAPA Consolidated Case Number 7724," dated June 28, 2022 (Initiation Notice). In the Initiation Notice, in accordance with 19 CFR 165.13, CBP consolidated cases 7724, 7726, and 7728 into one investigation because factors warranting consolidation were present, including that there is one importer entering similar covered merchandise, the *Orders* are similar, and there is an overlap in time periods of entries of covered merchandise.

⁷ See CBP Memorandum, "Notice of Initiation of Investigation and Interim Measures - EAPA Cons. Case 7724," dated October 3, 2022 (NOI). In the Initiation Notice, CBP also initiated against another company; however, between then and the NOI the Alleger has withdrew its allegation against the company.

⁸ *Id.*

⁹ *Id.*

¹⁰ *Id.*

thermal paper from Malaysia to the United States.¹¹ On November 10, 2022, CBP received RFI responses from WHP and Actan to CBP's October 20 RFI.¹² On December 23, 2022, CBP sent supplemental RFIs to WHP and Actan.¹³ On January 5, 2023, CBP received WHP's supplemental RFI response and on January 6, 2023, and January 21, 2023, CBP received, in two parts, Actan's supplemental RFI response.¹⁴ On February 16, 2023, CBP sent a second supplemental RFI to WHP and Actan.¹⁵ Actan provided the second part of its first supplemental RFI response on February 21, 2023.¹⁶ On February 22, 2023, CBP received WHP's second supplemental response and on February 24, 2023, CBP received Actan's second supplemental response.¹⁷ On February 28, 2023, CBP sent a third supplemental RFI to Actan.¹⁸ On March 10, 2023, received an untimely RFI response from Actan.¹⁹ On March 14, 2023, CBP sent an email rejecting Actan's March 10, 2023 submission, because it was untimely.²⁰

On March 24, 2023, CBP received written arguments from WHP and the Alleger.²¹ On March 29, 2023, CBP received rebuttal arguments from the Alleger.²² On April 10, 2023, CBP received rebuttal arguments from WHP.²³

Analysis

¹¹ See CBP Memorandum, "EAPA CASE NUMBER 7724 Actan (Malaysia) Sdn Bhd – Request for Information," dated October 20, 2022 (Actan RFI); *see also* CBP Memorandum, "EAPA CASE NUMBER 7724 WHP Associates LLC Request for Information," dated October 20, 2022 (WHP RFI); *see also* 19 CFR 165.5.

¹² See letter from WHP, "Response to Request for Information," dated November 10, 2022 (WHP RFI Response); *see also* letter from Actan, "Response to Request for Information," dated November 10, 2022 (Actan RFI Response).

¹³ See Memorandum "EAPA 7724: Supplemental Request for Information to WHP Associates LLC," dated December 23, 2022 (WHP 1SRFI); *see also* Memorandum "EAPA 7724: Supplemental Request for Information to Actan (Malaysia) Sdn. Berhad," dated December 23, 2022 (Actan 1SRFI).

¹⁴ See letter from WHP "Response to Supplemental Request for Information to WHP Associates LLC," dated January 5, 2023 (WHP 1SRFI Response); *see also* email from Actan "RE: EAPA 7724: Supplemental RFI," dated January 6, 2023 (Actan 1SRFI Response); *see also* email from Actan "RE: EAPA 7724: Supplemental RFI," dated February 21, 2023 (Actan 1SRFI Response Part 2).

¹⁵ See Memorandum "EAPA 7724: Second Supplemental Request for Information to WHP Associates LLC," dated February 16, 2023 (Alno 2SRFI); *see also* Memorandum "EAPA 7724: Second Supplemental Request for Information to Actan (Malaysia) Sdn. Berhad," dated February 16, 2023 (Alno 2SRFI).

¹⁶ See email from Actan "RE: EAPA 7724: Supplemental RFI," dated February 21, 2023 (Actan 1SRFI Response Part 2).

¹⁷ See letter from WHP, "Response to Second Supplemental Request Information to WHP Associates LLC," dated February 22, 2023 (WHP 2SRFI Response); *see also* letter from Actan, "Second Supplemental," dated February 24, 2023 (Alno 2SRFI Response).

¹⁸ See Memorandum "EAPA 7724: Second Supplemental Request for Information to Actan (Malaysia) Sdn. Berhad - Reissued," dated Actan, 2023 (Actan 3SRFI).

¹⁹ See email from CBP, "EAPA 7724: Rejection of Submission," dated March 14, 2023 (Actan Untimely Rejection).
²⁰ *Id.*

²¹ See letter from Alleger, "EAPA Investigation No. 7724 - WHP Associates - Alleger's Written Arguments," dated March 24, 2023 (Alleger Written Arguments); letter from WHP, "EAPA Investigation No. 7724 - WHP Associates Written Argument," dated March 24, 2023 (WHP Written Arguments).

²² See letter from Alleger, "EAPA Investigation No. 7724 - WHP Associates - Alleger's Written Rebuttal Arguments," dated March 29, 2023 (Alleger Rebuttal Arguments).

²³ See letter from WHP, "EAPA Investigation No. 7724 - WHP Associates Response to Written Argument," dated April 10, 2023 (WHP Rebuttal Arguments).

Under 19 U.S.C. § 1517(c)(1)(A), to reach a final determination as to evasion, CBP must “make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion.” Evasion is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material and that results in any cash deposit or other security of any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.”²⁴ As discussed below, the record of this investigation indicates there is substantial evidence that covered merchandise was entered by WHP into the United States through evasion, resulting in the avoidance of applicable AD/CVD cash deposits or other security.

The evidence clearly demonstrates that Actan does not produce thermal paper but converts jumbo rolls to smaller sized rolls. The question before CBP is whether WHP imported thermal paper of Chinese-origin, German-origin, or South Korean-origin that evaded the respective AD/CVD orders during the POI.

Evidence of Transshipment

The record contains substantial evidence that Actan transshipped thermal paper from China, Germany, and South Korea to Malaysia that WHP then imported into the United States. As part of the EAPA investigation process, CBP issued a CBP Form 28 request for information (CF-28) to WHP concerning certain entries.²⁵ In its CF-28 response, WHP provided information that aligned with the Allegations by indicating it purchased thermal paper that Actan exported from Malaysia.²⁶ WHP claimed that Actan produced all the thermal paper that it exported to the United States by providing a COO certificate claiming that converted thermal paper rolls from Actan are of Malaysian origin.²⁷ However, pictures of the production process, *i.e.*, unrolling machine, slitting machine, and rerolling machine; and thermal paper jumbo rolls from the CF-28 Response and WHP RFI Response show Actan unrolling jumbo rolls of thermal paper that it then slits and rerolls into smaller rolls.²⁸ The purchase information WHP provided in its CF 28 response indicates that Actan purchases jumbo rolls and does not manufacture them, *i.e.*, lack of purchasing of material inputs to produce thermal paper jumbo rolls.²⁹

Additionally, since the filing of the CF-28 Response, WHP has revised its prior statement to indicate that Actan does not produce thermal paper jumbo rolls but slices it into smaller rolls, which is supported by purchasing documents provided by Actan.³⁰ Further, WHP revised its statements on COO because it claims it was unaware of the COO rules for the thermal paper.³¹ WHP indicated it now understands that the COO of thermal paper WHP purchased and imported from Actan is that of where the thermal paper jumbo roll was produced and not that of the

²⁴ See 19 CFR 165.1; *see also* 19 USC 1517(a)(5)(A).

²⁵ See CF-28 sent to WHP, dated July 28, 2022 (CF-28).

²⁶ See WHP Associates Response to CF-28, dated September 1, 2022 (CF-28 Response).

²⁷ *Id.*

²⁸ *Id.*; *see also* WHP RFI Response, at Appendix 16.

²⁹ *Id.*

³⁰ *Id.*

³¹ See WHP RFI Response, at 19; *see also* WHP Arguments, at 1-2.

country where the thermal paper jumbo roll was converted into smaller rolls.³² Actan stated that it had only two pieces of equipment in its production, *i.e.*, a divide and cutter machine and a shrink wrap machine, to process jumbo rolls to the finished products of the sliced thermal paper.³³ In other words, Actan did not report having the equipment or having purchased raw materials necessary for manufacturing thermal paper jumbo rolls (which would include, *e.g.*, a coating machine for the base paper input and the chemical additives needed for the coating).³⁴ Actan indicated that it orders jumbo rolls, *i.e.*, raw material, and then slices it into the finished cut thermal paper.³⁵ Additionally, Actan's 2021 and 2022 audited financial statements state that Actan's principal activity was paper converting, *i.e.*, paper slitting and sheeting services.³⁶

In 2008 CROSS Ruling N030222 and 2015 CROSS Ruling N268298 CBP found "no substantial transformation" in the jumbo roll to smaller roll conversion process and as such, regardless of the conversion to smaller rolls in Malaysia, the product Actan exports remains COO China, Germany, or South Korea depending on where the jumbo rolls were produced. Therefore, CBP finds in this investigation, consistent with its prior findings, that the minor processing of thermal paper by Actan in Malaysia, *i.e.*, cutting jumbo rolls into cut thermal paper, as described in WHP's CF-28 response, WHP's RFI responses, and Actan's RFI responses, does not change the COO of the thermal paper processed by Actan to Malaysia. Furthermore, customs data shows that Actan only imported into Malaysia thermal paper jumbo rolls from China, Germany, and South Korea, and thermal paper from all three of those countries are subject to AD/CVD orders.³⁷ As a result, CBP determines that Actan has exported to the United States thermal paper products that have a COO of China, Germany, or South Korea (where the thermal paper jumbo roll was sourced) and, thus, are subject to the AD/CVD orders.

Chinese-Origin Jumbo Rolls

Evidence on the record clearly shows that Actan imports thermal paper from China to Malaysia. Malaysian Customs data, provided by the PRCA, shows that from January 2021 through March 2022, Actan imported into Malaysia thermal paper jumbo rolls from Sailing International Ltd. (Sailing Paper) in China and Gold Hua Sheng Paper (Suzhou) in China.³⁸ Actan admits that it purchased jumbo rolls of thermal paper from Sailing Paper in China, but also claims that none of its China-sourced paper is used to produce thermal rolls sold and exported to WHP.³⁹ Additionally, Actan also stated that it does "purchase other material from {Sailing Paper}."⁴⁰ However, Actan did not provide any specific information regarding its customers and sales that would allow CBP to determine whether the thermal paper cut from Chinese jumbo rolls was exported to WHP or elsewhere. CBP tried twice to get further information from Actan about its

³² *Id.*

³³ See Actan RFI Response, at 12.

³⁴ See *e.g.*, Allegation, at Exhibit 14, for the market report of thermal paper jumbo roll producers and the requirements for production.

³⁵ See Actan RFI Response, ., at 13.

³⁶ *Id.*, at Appendix 10 and 11.

³⁷ See Allegations.

³⁸ See Allegations, at 7 and Exhibit 19.

³⁹ *Id.*

⁴⁰ See Actan 2RFI Response, at Question 2.

Chinese thermal paper suppliers.⁴¹ CBP twice attempted to have Actan identify all customers that received merchandise made from thermal paper of Chinese-origin, and to provide documents to support its answer.⁴² In both instances, Actan failed to provide the requested documents to substantiate its claims that none of the thermal paper exported to WHP was of Chinese-origin.⁴³ Therefore, based on the Malaysian Customs data and Actan's admission of having Chinese suppliers of thermal paper jumbo rolls and getting "other material" from Sailing Paper, CBP determines substantial evidence on the record shows Actan has imported thermal paper jumbo rolls of Chinese-origin into Malaysia.

German-Origin Jumbo Rolls

Evidence on the record shows that Actan imported thermal paper jumbo rolls from Germany into Malaysia. Malaysian Customs data, provided by the PRCA, shows that from January 2021 through March 2022, Actan imported into Malaysia thermal paper from Mitsubishi HiTec Paper Europe in Germany.⁴⁴ CBP tried twice to get further information from Actan about any thermal paper suppliers for WHP's orders.⁴⁵ Actan stated it did "have two containers of material from Germany *{sic}*" and provided shipping documents that showed thermal paper, with dimensions consistent with jumbo rolls, from Germany being shipped to Actan.⁴⁶ CBP asked Actan in two RFIs to identify all customers to which Actan sold cut thermal paper made from thermal paper jumbo rolls of German-origin, and to provide documents to support its answer.⁴⁷ In both instances, Actan failed to provide the requested information. Therefore, based on the Malaysian Customs data and Actan's admission of having German suppliers of thermal paper jumbo rolls, CBP determines substantial evidence on the record shows Actan has imported thermal paper jumbo rolls of German origin into Malaysia. However, due to Actan's failure to cooperate, the evidence on the record does not tie Actan's exports to WHP in the United States to such German-origin jumbo rolls.

South Korean-Origin Jumbo Rolls

Evidence on the record shows that Actan imported jumbo rolls from South Korea into Malaysia. Actan indicates it sourced its thermal paper jumbo rolls from Hansol Paper Co Ltd (Hansol) located in Seoul, South Korea.⁴⁸ Actan substantiated its claim by providing documentation of its purchases of thermal paper jumbo rolls from Hansol in South Korea.⁴⁹ Further, WHP provided an affidavit from Actan stating that the raw materials used in production of the products sold to WHP were sourced from South Korea.⁵⁰ The documentation included commercial invoices from Hansol to Actan, packing lists, bills of lading, South Korean certificates of origin, Royal Malaysia Customs import documents, and debit advices for 17 purchases of jumbo rolls of

⁴¹ See Actan 2SRFI at 3; *see also* Actan 3RFI at 3.

⁴² *Id.*

⁴³ *Id.*

⁴⁴ See Allegation, at 7 and Exhibit 19.

⁴⁵ See Actan 2SRFI at 3; *see also* Actan 3RFI at 3.

⁴⁶ See Actan 2SRFI Response.

⁴⁷ See Actan 2SRFI at 3; *see also* Actan 3RFI at 3.

⁴⁸ See Actan RFI Response, at 13.

⁴⁹ See Actan RFI Response, at Appendix 18.

⁵⁰ See WHP RFI Response, at Appendix 21.

thermal paper from Hansol.⁵¹ Therefore, based on the aforementioned information, CBP determines substantial evidence on the record shows that for the vast majority of Actan's sales of cut thermal paper to WHP (*i.e.*, [#] out of [#] WHP sales orders, corresponding to 16 entries), Actan used thermal paper jumbo rolls of South Korean-origin, *e.g.*, from Hansol. Specific sales that appear to not be tied to South-Korean jumbo rolls are discussed in detail below.

Adverse Inferences

CBP's EAPA regulations at 19 CFR 165.6(a) state:

If . . . the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion. . . .

In its RFI responses, Actan did not provide several items of important information that CBP expressly requested on multiple occasions. For example, in the initial RFI, CBP asked Actan for sales orders and production records for WHP's orders.⁵² There were [numbers] WHP sales orders [numbers] for which Actan did not provide sales order/production records.⁵³ CBP later requested in Actan SRFI1 additional information be provided for the specified WHP orders and the raw material used to fill those orders.⁵⁴ Actan merely referred CBP back to its initial RFI response and provided no further documentation.⁵⁵ CBP also requested additional information showing Actan remitted payment to Hansol.⁵⁶ Actan's response included the records for 20 Swift Bank transfer payments that matched the amounts paid on [numbers] commercial invoices from Hansol.⁵⁷ However, no additional information was provided on the other [#] commercial invoices in its response.⁵⁸

In addition, Actan failed to provide documentary support to CBP about thermal paper it imported from Germany and China despite CBP's multiple attempts to obtain this information.⁵⁹ This lack of information hinders CBP's ability to fully understand the identity of all of Actan's suppliers and the quantities received from them. CBP tried twice to get further information from Actan about its Chinese thermal paper suppliers.⁶⁰ CBP twice attempted to have Actan identify all customers that received merchandise made from thermal paper of Chinese-origin, and to provide documents to support its answer.⁶¹ In both instances, Actan failed to provide the requested documents to substantiate its claims that none of the thermal paper exported to WHP was of Chinese-origin.⁶² Furthermore, Actan stated it did purchase thermal paper jumbo rolls from

⁵¹ See generally Actan RFI Response.

⁵² See Actan RFI, at 20-21.

⁵³ See Actan RFI Response.

⁵⁴ See Actan SRFI, at 2.

⁵⁵ See Actan 1SRFI Response.

⁵⁶ See Actan RFI, Actan SRFI, and Actan 2SRFI.

⁵⁷ See Actan RFI Response, at appendix 18.

⁵⁸ See Actan 1SRFI Response Part 2.

⁵⁹ See Actan RFI Response, Actan 1SRFI Response, and Actan 2SRFI Response.

⁶⁰ See Actan 2SRFI at 3; see also Actan 3RFI at 3.

⁶¹ *Id.*

⁶² See *e.g.*, Actan RFI Response, Actan 1SRFI Response, and Actan 2SRFI Response.

Germany but failed to provide requested documents to tie the purchases to specific entries.⁶³ It is the responsibility of Parties to the Investigation and Interested Parties, as defined by 19 CFR 165.1, to ensure the information they place on the record or provide to CBP is complete, true, and accurate.⁶⁴ In this instance, CBP asked Actan multiple times to substantiate its claims by providing documents and it failed to do so. As a result, CBP determines that Actan failed to act to the best of its ability to respond to CBP's requests for information regarding the source of its thermal paper jumbo rolls for the [numbers] WHP sales orders.

Furthermore, CBP attempted multiple times to trace raw materials, thermal paper jumbo rolls, to finished merchandise, *i.e.*, converted thermal paper rolls, to ensure the information gained is accurate.⁶⁵ CBP asked Actan to provide documents related to the purchase of raw materials to fulfill specific orders.⁶⁶ Actan replied that it attempts "to practice 'First In, First Out' (FIFO), but it is not always practical as sometimes withdrawing material from location to location might face other difficulties."⁶⁷ CBP asked Actan again to provide documents related to the purchase of raw materials for specific orders.⁶⁸ Actan stated that it was "not able to tally exactly which material we purchased must be use {sic} for which order."⁶⁹ Actan went on to say that it was not practical to tie specific raw materials to specific orders because it could have purchased the raw materials a month, or more, before the customer's order enters production.⁷⁰ Ultimately, even though the requested information is something every manufacturer would have, Actan did not specifically identify the source of the raw material, *i.e.*, thermal paper jumbo rolls, for each order request, due to allegedly purchasing in bulk, despite multiple requests by CBP. As a result, CBP determines that Actan failed to act to the best of its ability in providing requested information relating to tracing raw materials, thermal paper jumbo rolls, through production to specific entries of cut thermal paper that WHP imported into the United States. CBP determines that Actan failed to act to the best of its ability in providing all sales documents related to its purchase of thermal paper jumbo rolls from China and Germany.

As a result of this lack of cooperation and unwillingness to provide requested information, CBP is unable to rely on the completeness of the records Actan has submitted to CBP. While evidence on the record shows that Actan exported converted thermal paper to WHP of German-origin and of South Korean-origin, Actan repeatedly failed to provide crucial evidence regarding the thermal paper jumbo rolls it received from its Chinese suppliers and the destination of the finished product, *i.e.*, the customers that received converted thermal paper made from jumbo rolls of Chinese-origin. This information could have substantiated Actan's claim that thermal paper of Chinese-origin was not shipped to WHP. Moreover, Actan did not provide information regarding the source of raw materials for specific entries as requested by CBP.⁷¹ Information on suppliers and raw materials is crucial for CBP's understanding of Actan's inventory management and tracking processes to determine the COO of the thermal paper jumbo rolls used by Actan for

⁶³ See Actan 2SRFI.

⁶⁴ See 19 CFR 165.5(b)(2)-(3)

⁶⁵ See Actan RFI; Actan 1SRFI, Actan 2RFI, and Actan 3RFI.

⁶⁶ See *e.g.*, Actan 1SRFI, at 2.

⁶⁷ See Actan 1SRFI Response.

⁶⁸ See Actan 2SRFI.

⁶⁹ See Actan 2SRFI Response, at 3.

⁷⁰ *Id.*, at 3.

⁷¹ See Actan 2SRFI Response.

the [#] WHP sales orders [numbers] for which it did not provide sales order/production records.⁷²

Therefore, CBP is drawing inferences adverse to the interests of Actan in reaching conclusions from the facts otherwise available on the record. As discussed above, evidence on the record shows that Actan commingles thermal paper jumbo rolls from China, Germany, and South Korea, *e.g.*, Actan purchases in bulk, operates on a FIFO practice, and is unable to trace raw materials (*i.e.*, jumbo rolls) to specific entries, *etc.* In such instances, CBP is drawing adverse inferences and concludes that all entries for which Actan claims it used German jumbo rolls, contain Chinese origin thermal paper, and as such will assess the duty at the highest rate or rates applicable to any kind of merchandise included in the commingling. In this instance, the highest rates are the AD and CVD rates for thermal paper from China, *i.e.*, 13.63 percent and 115.29 percent, respectively.⁷³ CBP is relying on information in the Allegations and Actan's acknowledgement of material from China, to determine that the [#] WHP sales orders, corresponding to five entries by WHP, for which CBP lacks production records are from China.⁷⁴ Specifically, CBP is relying on the information provided by the Alleger in the Allegations, *i.e.*, trade data showing Actan imported thermal paper from China, and information provided in Actan 2SRFI Response stating it imported from Sailing Paper in China.⁷⁵ Further, CBP finds this decision to use China appropriate because the information regarding thermal paper jumbo rolls from Germany is unreliable as there no way to tie them to specific sales orders and due to the fact that any German-origin jumbo rolls appear to be comingled with thermal paper jumbo rolls from China. Based on all this information, CBP finds the thermal paper contained in entries in question that WHP imported into the United States from Actan, *i.e.*, five entries out of a total twenty-one total entries are of Chinese origin.⁷⁶

Written Arguments

1. Adverse Inferences

Alleger:

- Actan failed to provide information requested by CBP multiple times that would demonstrate the origin of the paper in the rolls purchased by WHP.⁷⁷
- Adverse inference should apply to all exports from Actan to WHP and the Chinese AD/CVD rates should apply to the entries at issue.⁷⁸

⁷² These sales orders relate to five entries by WHP: [#]2918, [#]3783, [#]4328, [#]2710, and [#]3916.

⁷³ See the *Orders*.

⁷⁴ See *Allegations*.

⁷⁵ *Id.*, at Exhibit 4; see also Actan 2SRFI Response, at 1-2.

⁷⁶ Of note for entries: [#]2918, [#]3783, [#]4328, we have a portion of the entry that has information tracing thermal paper to thermal paper jumbo rolls of Korean-origin. For those corresponding values in the entries will receive the South Korean AD rate. The remaining value of those entries that CBP is missing production records from will receive the China AD/CVD rates. For entries [#]2710, and [#]3916, CBP has not production records for any part of the entry and as a result the values for each entry will receive the China AD/CVD rate.

⁷⁷ See Alleger Written Arguments, at 4.

⁷⁸ See Alleger Written Arguments, at 9.

WHP:

- Application of adverse inference is not warranted because evidence on the record shows that Actan purchased raw materials from South Korea, *i.e.*, from Hansol, and those materials were used to produce WHP's merchandise.⁷⁹
- Actan stated that WHP is not among the customers for the China rolls, which is supported by other evidence on the record.⁸⁰
- Actan acted to the best of its ability and provided as much information in the time it had.⁸¹

CBP Position:

We disagree with WHP based on the reasons set forth above.

2. Sailing paper also evaded the AD/CVD orders.

Alleger:

- Evidence on the record demonstrates that sales to WHP for much of the period of investigation were made through Sailing Paper.⁸²
- Evidence on the record shows Actan and Sailing Paper are likely the same company operating under different names.⁸³
- Actan and Sailing Paper have colluded to evade the payment of antidumping and countervailing duties.⁸⁴

WHP:

- Evidence on the record shows that Sailing Paper is a customer of Actan, and therefore, they cannot be the same company.⁸⁵

CBP Position:

Evidence on the record shows a strong connection between Sailing Paper and Actan, based on the purchasing patterns. However, this EAPA investigation can only review imports of thermal paper from Malaysia by WHP during the POI. At this time, CBP data shows there are [description] by WHP that report [name] as manufacturer and multiple entries by WHP that report

⁷⁹ See WHP Rebuttal Arguments, at 2-4.

⁸⁰ *Id.*

⁸¹ *Id.*

⁸² See WHP Rebuttal Arguments, at 2-4.

⁸³ See Alleger Written Arguments, at 11.

⁸⁴ See Alleger Written Arguments.

⁸⁵ See WHP Rebuttal Arguments, at 9-10.

Actan as the manufacturer. As a result, EAPA makes no determination on [name] as there are [description].

Source of Actan's Jumbo Rolls

WHP:

- Evidence on the record clearly demonstrates that the source of the thermal paper imported by WHP from Actan is of Korean-origin.⁸⁶
- Actan has provided sufficient evidence to support that it did not use thermal paper of Chinese-origin when it supplied WHP.⁸⁷

Alleger:

- WHP has no independent knowledge regarding the COO of the thermal paper in the converted paper rolls it purchased and is reliant on information from Actan and Sailing Paper, which CBP has determined is unreliable.⁸⁸
- There is no dispute that Actan imported thermal paper jumbo rolls from South Korea, *i.e.*, Hansol; however, Actan failed to supply the information that would allow CBP to determine the COO of the converted thermal paper rolls.⁸⁹
- There is no evidence that demonstrates the thermal paper jumbo rolls of Chinese-origin were not used to make the rolls supplied to WHP.⁹⁰

CBP Position:

The issue on the source of the jumbo rolls is discussed in detail above.

Determination as to Evasion

The previously discussed facts on the record establish that there is substantial evidence that thermal paper converted from thermal paper jumbo rolls of either Chinese-origin and/or South Korean-origin was imported by WHP into the United States by evasion, via transshipment through Malaysia. Specifically, nineteen entries of converted thermal paper imported by WHP from Actan in Malaysia were of South Korean-origin.⁹¹ Additionally, by application of adverse inferences, relying on evidence provided in the Allegations and obtained from Actan, CBP determines that five entries of thermal paper exported by Actan to WHP were of Chinese-

⁸⁶ See WHP Written Arguments.

⁸⁷ *Id.*

⁸⁸ See Alleger Rebuttal Arguments at 2.

⁸⁹ See Alleger Rebuttal Arguments, at 2-3.

⁹⁰ *Id.*, at 3.

⁹¹ The entries by WHP that will receive application of, either in total or in part, the South Korea AD rate are

[#]2504, [#]2512, [#]2868, [#]2421, [#]2900, [#]2595, [#]2884,
[#]2587, [#]2967, [#]2918, [#]3353, [#]3783, [#]3445, [#]3858,
[#]3809, [#]4021, [#]4369, [#]3882, and [#]4328

origin.⁹² As discussed above, evidence on the record shows that Actan commingles thermal paper jumbo rolls from China, Germany, and South Korea, *e.g.*, Actan purchasing in bulk, operating on a FIFO practice, being unable to trace raw materials to specific entries, *etc.*⁹³ Furthermore, evidence on the record indicates that WHP entered thermal paper converted from thermal paper jumbo rolls of Chinese-origin and South Korean-origin into the United States as type 01 entries and evaded the payment of AD/CV duties on thermal paper from China and South Korea, including by misrepresenting the thermal paper as Malaysian in origin.⁹⁴ The thermal paper WHP entered from Actan during the period of investigation should have been subject to the either the AD rate on thermal paper from South Korea or the AD/CVD rates on thermal paper from China.

Actions Taken Pursuant to the Affirmative Determination as to Evasion

In light of CBP's determination that substantial evidence demonstrates that the Importer entered covered merchandise into the customs territory of the United States through evasion, and pursuant to 19 U.S.C. § 1517(d) and 19 CFR 165.28, CBP will suspend or continue to suspend the entries covered by this investigation, until instructed by Department of Commerce to liquidate. For those entries previously extended in accordance with Interim Measures, CBP will rate adjust and change those entries to type 03 and continue suspension until instructed by Department of Commerce to liquidate these entries. CBP will continue to evaluate the Importer's continuous bonds in accordance with CBP's policies. None of the above actions precludes CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,



Victoria Cho
Acting Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade

⁹² The entries by WHP that will receive application of, either in total or in part, the China AD/CVD rates are: [#]2918, [#]3783, [#]4328, [#]2710, and [#]3916.

⁹³ See *e.g.*, 19 CFR 152.13(b).

⁹⁴ Entry type "01" is the code that CBP requires importers use to designate a standard consumption entry that is not subject to AD/CVD duties. See <https://www.cbp.gov/trade/automated/ace-transaction-details>.